



**“We make regulations unnecessarily complex for capital to come into the Indian alternative investment fund (AIF) structure. Reforms should be about streamlining [processes], easing unnecessary steps and levelling the playing fields with overseas VCs”**

**KARTHIK REDDY**  
CHAIRPERSON, IVCA AND  
CO-FOUNDER AND MANAGING  
PARTNER, BLUME VENTURES



**“Globally, ‘carried interest’ is taxed as capital gains and not as income from services. Except for pay-out of appropriate remuneration, profit distribution among partners is not treated as income from services”**

**BHAVIN SHAH**  
DEALS LEADER, PWC INDIA



**“One of the things that restrict foreign-owned entities in this country is that they are considered foreign-owned and controlled even though all their capital is in India and it never leaves the [country’s] shores”**

**PRANAV PARIKH**  
MANAGING PARTNER,  
EDELWEISS FINANCIAL  
SERVICES



**“While we have angel funds and have a different set of criteria for investors in angel funds, I think it needs to be drilled down further to accommodate for even smaller-ticket participants, which the current regulations do not allow”**

**RASHI KAPOOR MEHTA**  
PARTNER, UNIVERSAL  
LEGAL

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says, adding that these carry restrictions on minimum tenure such that only 30 per cent of an FPI’s portfolio can be in short-term instruments of less than three years’ maturity. Since most venture debt investments are of 18 months’ tenure, FPIs have to set up a local fund structure (AIF) increasing legal, compliance and operational costs.”

Jidesh Kumar, Managing Partner of corporate law firm King Stubb & Kasiva, calls for the creation of a separate regulator for the private market. “There must be a separate regulator for AIFs as Sebi, in its current setup and avatar, doesn’t understand private market dynamics as well as it understands the public market. In the private market, the risk-reward programme is [more] aggressive, with a lot of responsibility on Sebi as the public market

regulator to preserve investments due to the diversity of the investors in the public market,” he says.

**T**HE SIX-MEMBER committee—that has former Sebi whole-time member G. Mahalingam; former CBIC member D.P. Nagendra Kumar; former principal commissioner of income tax Ashish Verma; Poonam Gupta, Director General of National Council of Applied Economic Research; and P.R. Acharya, Director of Arun Jaitley National Institute of Financial Management—as its other members, is evaluating the recommendations made by IVCA and other industry bodies. Damodaran declined to participate in the story, saying that the committee had just started its work. According to industry sources, the committee aims to present a num-

ber of recommendations to the finance ministry before the Budget deliberations start. It is expected that some of its recommendations will make it to next year’s Budget document.

Globally, institutional capital drives the alternative investment landscape whereas in India, HNIs and family offices are driving its adoption. A friendly regulatory environment can attract a lot more domestic institutional capital to this asset class and also draw more family offices to create AIFs, which will bring more capital under regulatory ambit. At a time when investor sentiment towards start-up funding is pessimistic, positive regulatory reforms can help lift the mood of the ecosystem. **BT**

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